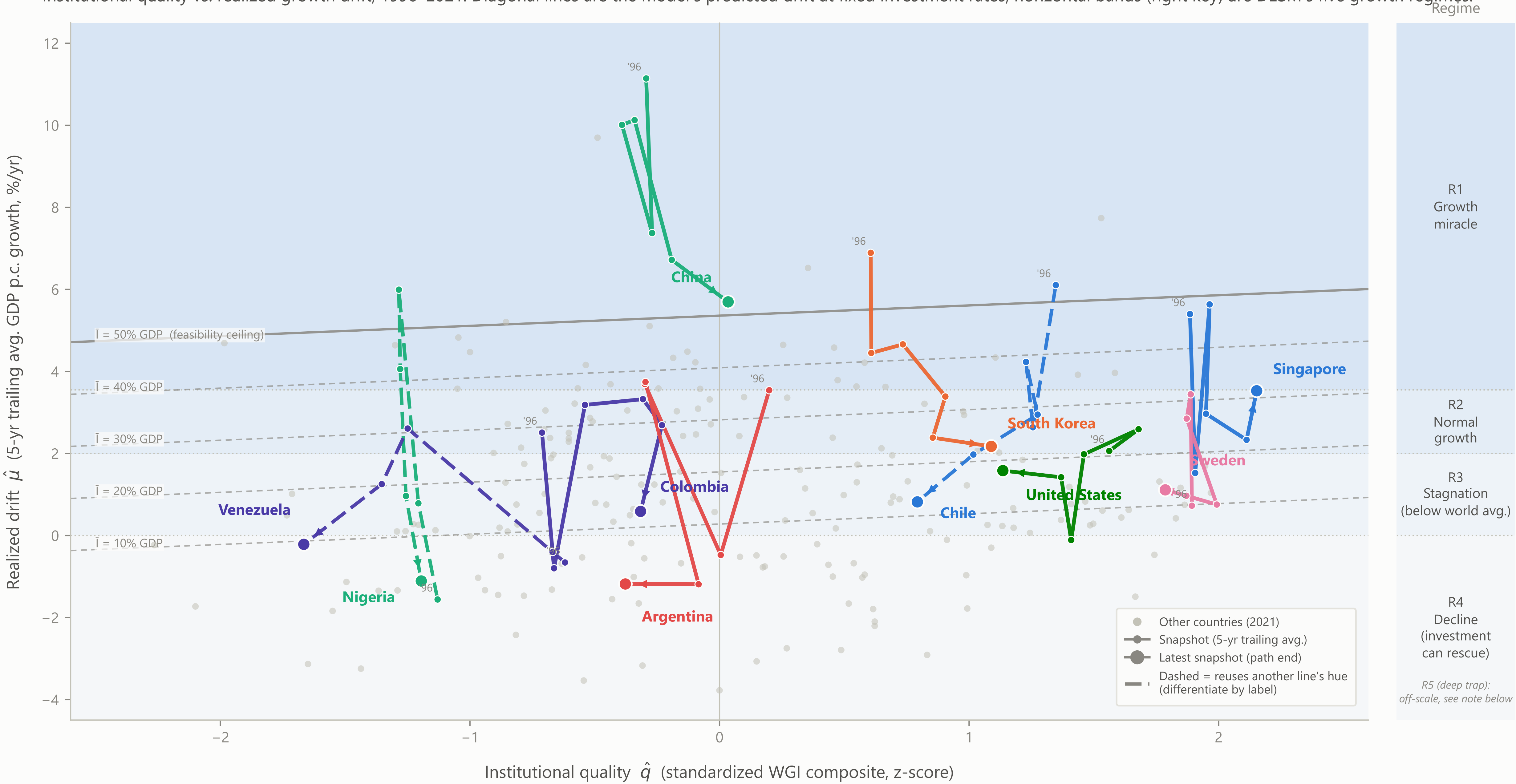
Where nations sit—and move—in DESM's growth-regime space

Institutional quality vs. realized growth drift, 1996–2021. Diagonal lines are the model's predicted drift at fixed investment rates; horizontal bands (right key) are DESM's five growth regimes.



$m(q,\bar{I}) = \mu_0 + \beta_I \bar{I} + \gamma q$, calibrated: $\mu_0 = -0.99$, $\beta_I = 0.127$, $\gamma = 0.249$ %/yr; $\bar{\mu} = 2.0\%$, $\sigma_\mu = 1.55\%$ (article, M06 Table 6.1).

R5 (deep institutional trap) requires $q^{\dagger} \approx -7$ to -21 z-scores depending on the γ estimate — off this chart, beyond any observed country: a headline finding of the article.

$\hat{\mu}$ here is an empirical 5-yr trailing proxy for the model's country drift μ_i, not the model's own (time-invariant) point estimate.

Venezuela's path stops in 2016 (WDI growth series lapse amid the crisis). Source: World Bank WDI/WGI (panel_data.csv). Illustrative repository figure — not reproduced in the article.